Paper 1: Economics

Content overview

There are four areas of subject content. Students are required to study all four areas.

A The Market System	• Demand and supply • The role of the market in solving the economic problem • The labour market
B Business Economics	• Production • Competition • Public and private sectors
C Government and the Economy	• Macroeconomic objectives • Policies • Relationship between objectives and policies
D The Global Economy	• Globalisation • International trade • Exchange rates

Assessment overview

- The assessment of this qualification is through an examination paper lasting two hours and 30 minutes, set and marked by Edexcel.
- Single tier of entry.
- The total number of marks available is 120.
- The examination paper consists of four compulsory questions, each worth 30 marks.
- The questions are a mixture of structured, data response, short-answer, multiple-choice and open-ended questions.
- Each question will be based on a particular theme which will relate to one of the four sections of the subject content. However, due to the nature of economics, there may be some overlap between the questions.

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	Content	Illustrative guidance for teachers
nd ion of market.	**Demand and supply curves** • The relationship between price and quantity demanded and quantity supplied. • The concept of the market equilibrium: shifts and movements of demand and supply curves. • Factors affecting demand: – advertising, income, population, fashion, price, other products, ie complements and substitutes. • Factors affecting supply: – costs of production, indirect taxes and subsidies, changes in technology, natural factors, eg weather.	*Diagrams are an essential tool for both the understanding and analysis of demand and supply. They should be used:* • *as an aid to show the relationship between a change in price and a movement along the demand and supply curves* • *to distinguish between the effects of a change in price (movement along the curves) and a shift in the curves for both demand and supply* • *to analyse the effects of changes in demand and supply on the market equilibrium price, quantity demanded and quantity supplied.* *Students should note that the topic Population should include the main determinants of the size and age distribution of the population and the dependency ratio. The consequences of changes in the population on demand, firms, government, economy and the environment form the basis of further analysis in Sections B, C and D of the subject content.*
	Price and income elasticity • Definitions and formulae. • Factors affecting price elasticity of demand: substitutes, degree of necessity, percentage of income spent on goods or service. • Factors affecting price elasticity of supply: time, elasticity of factors of production. • Factors affecting income elasticity: normal and inferior goods. • Application of elasticity, its effects on the decision making of firms and government.	*Calculations using the formulae are not required. Diagrams with slopes showing elastic and inelastic demand and supply curves are required.* *Use of total revenue calculations to show the relationship between a change in price and the change in total revenue for differing elasticities is important.* *Use of data to show the relationship between changes in income and quantity demanded required. Diagrams not required.* *Application and analysis of examples required. Include the differences in elasticity of supply between manufactured goods and primary products.*

	Content	Illustrative guidance for teachers
f the solving nic	**Resolving scarcity** • Finite resources and choice. • Opportunity cost and its effects on the individual, firms and governments. • Production possibility curves to illustrate opportunity cost	*Examples of opportunity cost needed.*
	The mixed economy • Definitions of mixed economy, public sector and private sector. • Concept of market failure and role of public sector. • The role of the public sector and private sectors in the production of goods and services.	*How the problems of what to produce, how to produce and for whom to produce are solved through the mixed economy. Types of business organisation in the private sector* ***not*** *required.* *Concept of efficiency required but not types of efficiency, ie allocative and productive.* *Discussion of modern examples, drawn from an economy of your choice.*
r ı f a a mixed	**Wages and employment in a free economy** • Division of labour. • Advantages and disadvantages of division of labour: for the worker and for the firm. • Factors affecting demand for labour: – demand for final product – availability of substitutes, eg machines – productivity of the workforce. • Factors affecting supply of labour: – determinants of working population, ie age distribution, retirement and school-leaving age, female participation in the labour force. • Qualifications and training.	*Diagrams indicating how changes in demand and supply of labour (in both the economy and particular occupations) should be used to analyse the effects on wages and employment.* *Both the quantity and quality of the labour should be considered.* *Marginal revenue productivity theory* ***not*** *required.*

	Content	Illustrative guidance for teachers
a **mixed**	**Interference in the labour market** • Minimum wage legislation: – reasons for the legislation – diagram to show the effects on wages and employment. • Trade unions: – effects of their strength on wages and employment.	*Reference should be made to minimum wage legislation in an economy of your choice.* *Descriptions of types or detailed accounts of functions of unions are **not** required. Emphasis should be on explanation of the effects.*

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n	**Production and productivity** • Factors of production: land, labour, capital, enterprise. • Sectors of the economy: primary, secondary, tertiary. • Changing importance of these sectors in terms of employment and output over time, in developing and developed economies.	*Emphasis on the difference between production and productivity. Relate increases in factors to increased production.* *Modern examples, drawn from an economy of your choice.* *Data for contrasting developed and developing countries should be studied by considering the movement away from primary and towards secondary and tertiary industry.*
	Production costs and revenue • Fixed and variable costs, total cost, average cost, price, total revenue and profit. • Economies and diseconomies of scale. • Internal economies: marketing, technical, financial, managerial, risk-bearing. • External economies: skilled labour, infrastructure, ancillary firms. • Diseconomies: bureaucracy, labour relations.	*Calculations with simple numerical examples required.* *Marginal cost and marginal revenue **not** required.* *Diagram of average cost curve showing effect of economies and diseconomies of scale is the only cost curve required.*
	Productivity and wealth creation • Factors affecting productivity: – land: use of fertilisers, drainage, irrigation – labour: improved human capital – capital: use of more machinery and technological advances.	*This should form a basis for further analysis of economic growth in Section C of the subject content, **Government and the Economy**.*

	Content	Illustrative guidance for teachers
	Externalities: costs and benefits • Social cost = private cost + external cost (pollution, congestion). • Social benefit = private benefit + external benefit (education, health). • Government policy to deal with externalities: taxation, subsidies, fines, government regulation.	*This should form a basis for further analysis of protection of the environment in Section C of the subject content, **Government and the Economy**.* *Diagrams are not required.* *Students should consider the effects of externalities in relation to firms and consumers. Application of concepts to examples from an economy of your choice.*
n	**Competitive markets** • Advantages and disadvantages of competition to firms, consumers and the economy: efficiency, choice, quality, innovation. • Advantages and disadvantages of large and small firms. • Factors influencing the growth of firms; causes, types, limitations.	*Emphasis on markets having varying degrees of competition depending upon the number of firms in the market. A study of perfect competition **not** required.* *Limitations should include size of market, aim of entrepreneur and lack of finance.*
	Monopoly • Main features: barriers to entry, one dominant supplier in a market. • Legal definition(s). • Advantages and disadvantages of monopoly: economies of scale, product innovation, price, choice, efficiency.	*Modern examples of barriers to entry from an economy of your choice but **no** detail required.* *Legal definition is, for example taken as 25% market share.* *Diagrams **not** required but ability to analyse and evaluate in writing is required.*
	Oligopoly • Main features: barriers to entry, a few, large firms dominate the market, cartels, non-price and price competition. • Advantages and disadvantages of oligopolies: economies of scale, competition, collusion.	*Analysis required of modern examples of oligopolistic practices from an economy of your choice, for example the car industry in France.* *Diagrams **not** required.*

	Content	Illustrative guidance for teachers
l private	**Differences between public and private sectors in terms of ownership, control, aims.**	
	Government regulation • To promote competition: monopoly and merger control. • To influence location of firms: solution to regional problems of unemployment, congestion, income inequality.	*Outline knowledge of competition policy in a country of your choice.* *Factors affecting location of industry* ***not*** *required.*
	Privatisation Effects of privatisation on consumers, workers, firms, government and the economy.	*Ability to analyse modern examples required, from a country of your choice.*

ment and the Economy

	Content	Illustrative guidance for teachers
nomic	**Five macroeconomic objectives**: economic growth; inflation; unemployment; balance of payments on current account; protection of the environment. These are outlined in greater detail below.	*Students are expected to be able to understand and analyse simple data relating to the five macroeconomic objectives.* *Students should study regional policy in the context of the five objectives.*
	Economic growth • Gross Domestic Product (GDP) as the measurement of economic growth: total growth and rate of growth. • The economic cycle: recovery; boom; recession; slump.	*Students are **not** required to have knowledge of national accounting. Some grasp of the limitations of GDP as a measure is expected.*
	Inflation • Measurement of inflation: Retail Price Index (RPI) or Consumer Price Index (CPI). • Causes: demand pull, cost push, money supply. • Consequences: effects on prices, savings, wages, balance of payments, unemployment, the functions of money.	*A detailed knowledge of the RPI or CPI is **not** required; analysis of the causes and consequences of inflation should be the major focus.* *Characteristics of money are **not** required.*
	Unemployment • International Labour Organisation (ILO) measurement of unemployment. • Types — cyclical, structural, frictional, seasonal, voluntary.	*Students are **not** required to have detailed knowledge of unemployment figures but should be able to apply and analyse types of unemployment.*

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